

RESEARCH PAPER

Europe's Defence Problem Isn't Spending

It's that €800 billion in defence expenditure cannot convert into capability without coordination architecture.

Security Ireland

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IDEA IN BRIEF

THE PROBLEM

EU-27 defence spending reached €343 billion in 2024. Germany has committed €100 billion, and Poland spends 4.2% of GDP. The *ReArm Europe* plan targets €800 billion by 2030. The political will is unprecedented and the capital is flowing, but the system receiving the money is structurally incapable of converting it into military capability at the speed or scale the threat environment demands.

THE DIAGNOSIS

The binding constraint on European defence is not fiscal — it is architectural. Twenty-seven nations each running independent procurement processes produce fragmented demand, incompatible equipment, and structural dependency on American suppliers. Between February 2022 and June 2023, 78% of EU defence equipment acquisitions came from outside the EU, with 63% from the United States alone.

THE BOTTOM LINE

Europe already spends more on defence than Russia and China combined. €800 billion poured into the current system will reproduce fragmentation at a larger scale. Poured into a reformed system — with consolidated demand, genuine joint procurement, and a coordination architecture designed for speed — it would transform European defence capability within a decade.

The Fragmentation Tax

The scale of European defence fragmentation is difficult to overstate. For every single weapon type produced in the United States — tanks, infantry fighting vehicles, frigates, artillery systems — the European Union fields more than five times as many variants. Over sixty percent of EU-produced weapons are used exclusively in one country, while each variant requires its own logistics chain, its own spare-parts inventory, its own training pipeline, and its own maintenance contracts.

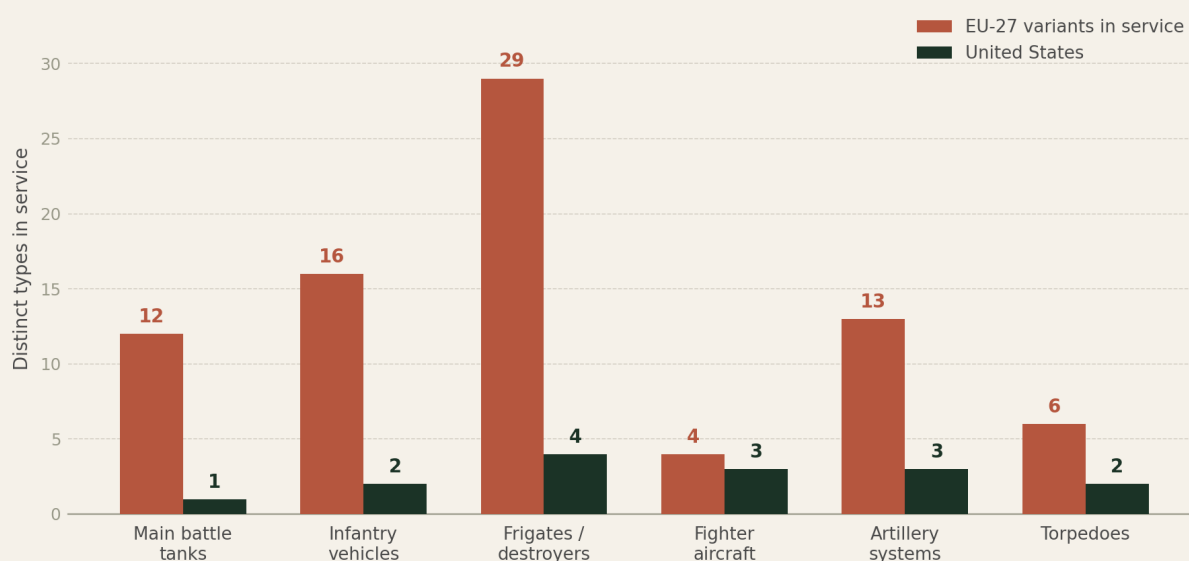
Consider combat aircraft: Europe currently produces three separate fighter programmes. The Eurofighter Typhoon is a German–Italian–Spanish–British consortium. The Rafale is wholly French. The Gripen is Swedish. Together, these three programmes have

generated roughly 1,860 orders. The American F-35 programme, a single consolidated platform, has generated over 3,500 — nearly twice the combined European total. The cost implications of this fragmentation compound across every stage of the lifecycle: development, production, maintenance, upgrades, and eventual replacement.

This is the predictable outcome of twenty-seven nations each running independent procurement processes designed to protect national industrial champions, distribute workshare to domestic constituencies, and maintain sovereign control over defence decisions. Each of these motivations is individually rational. Collectively, they produce a system that cannot achieve scale.

The fragmentation tax: weapon types in service

For every weapon type the US fields, the EU maintains five or more variants. Each requires separate supply chains.



Source: IISS Military Balance, European Defence Agency, author's estimates.

Figure 1: The fragmentation tax. For every weapon type the US fields, the EU maintains five or more variants. Each requires separate supply chains.

Where the Money Actually Goes

When urgency forces European governments to procure at speed — as it did after February 2022 — the fragmented European system fails its most basic test. According to European Commission data, 78% of EU defence equipment acquisitions between February 2022 and June 2023 came from outside the EU, with 63% from the United States alone.

This is not because European industry lacks capability; Europe's defence sector generated €183 billion in turnover in 2024 and exported €60 billion in arms. The problem is that when individual governments need equipment quickly, the easiest option is to buy American off-the-shelf — systems

that are already in production, already proven, and already integrated into NATO command structures.

Joint European procurement — the mechanism that would actually generate scale for European industry — accounted for roughly 18% of total spending. Yet the EU's attempts to incentivise it have been modest: €300 million through the EDIRPA programme, which the Commission claims has leveraged €11 billion in joint orders. But this is a rounding error against total

procurement volumes exceeding €100 billion annually.

This pattern is ruthlessly self-reinforcing. Governments buy American hardware because European industry cannot deliver at scale. European industry cannot deliver at scale because it does not receive consolidated orders. Each procurement cycle deepens the dependency.

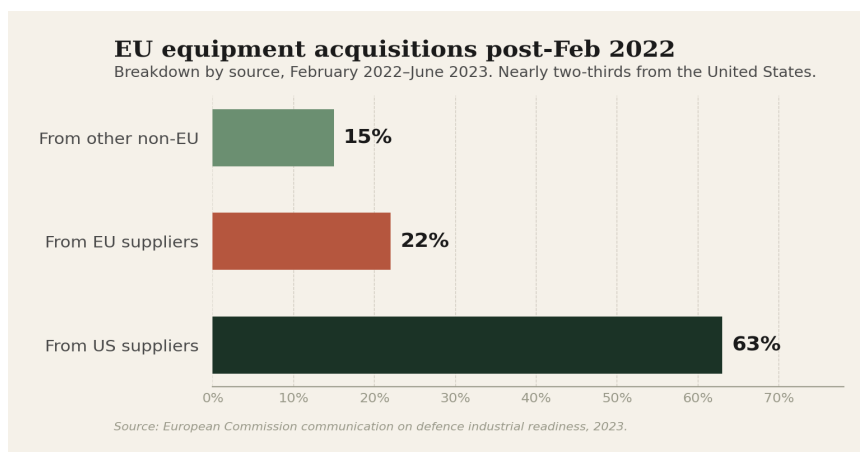


Figure 2: Post-February 2022 EU equipment acquisitions by source. 78% came from outside the EU, with 63% from the United States alone.

The Coordination Problem

Brussels has not been idle. Since 2022, the EU has launched an alphabet soup of defence industrial programmes: EDIRPA for joint procurement incentives, ASAP for ammunition production, EDIP for industrial capacity, SAFE for financing, and the broader Readiness 2030 roadmap. These programmes represent genuine ambition and real institutional innovation.

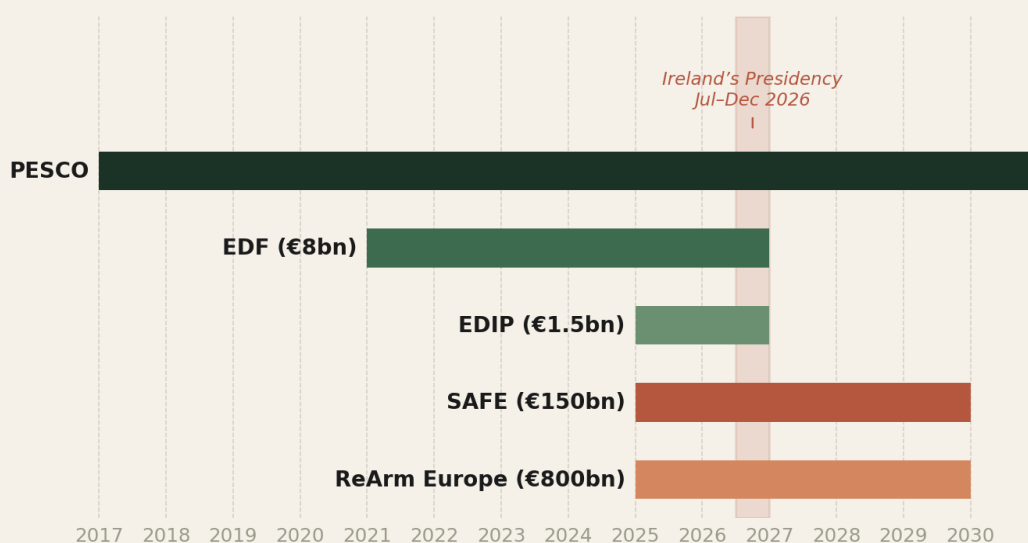
But they are fighting against the same structural constraint: defence procurement in Europe remains a national prerogative. Article 346 of the EU Treaty allows member states to exempt military procurement from EU public procurement rules, and most do. France runs a state-led defence industry. Germany's is entirely private. Thus, export control regimes vary widely. Industrial workshare negotiations for any collaborative programme become exercises in political arithmetic rather than efficiency.

The Franco-German-Spanish Future Combat Air System is the most instructive illustration. Conceived as Europe's answer to the F-35, FCAS has been plagued by disputes over technology sharing, intellectual property, workshare allocation, and programme leadership. Meanwhile, Germany has purchased F-35s for its nuclear sharing role — a procurement decision that potentially undermines the very programme supposed to demonstrate European defence autonomy.

This is the coordination architecture problem in its purest form. The capacity to produce technological autonomy exists, and the capital has come online, but what is missing is a system capable of converting twenty-seven sets of national requirements, twenty-seven procurement offices, and twenty-seven industrial policy priorities into consolidated demand that European industry can actually serve.

EU defence coordination instruments

Five instruments launched since 2017. Ireland's Presidency (Jul-Dec 2026) shapes the implementing rules.



Source: European Commission, Council of the EU. Author's compilation.

Figure 3: EU defence coordination instruments. Five instruments launched since 2017. Ireland's Presidency (Jul-Dec 2026) shapes the implementing rules.

The Lock-In Trap

Procurement decisions in defence have unusually long lock-in effects. A fighter aircraft purchased today will be in service for thirty to forty years, requiring maintenance contracts, software upgrades, spare parts, and eventual modernisation — all of which flow back to the original equipment manufacturer and its supply chain. An F-35 purchase is not a one-time transaction. From an industrial policy perspective, it is a thirty-year dependency on Lockheed Martin and on the United States for sustainment, spare parts, and software updates.

When European governments make off-the-shelf purchases from US suppliers under time pressure, they are not just solving an immediate capability gap. They are foreclosing options for European industry for decades. Every F-35 purchased displaces potential

orders for the Typhoon, Rafale, or a future European platform. Every Patriot system purchased reduces the market for European air defence alternatives. The decision to buy fast today creates a structural constraint on what can be built in Europe tomorrow.

This is why the ReArm Europe plan's insistence that member states 'spend better, together, and European' is correct in principle but insufficient in practice. Without a coordination mechanism that actually works — one that can aggregate demand, standardise requirements, and allocate workshare without years of political negotiation — the instruction to 'buy European' collides with the reality that European industry often cannot deliver what is needed, when it is needed, at the scale that is needed.

What Would Actually Work

The ReArm Europe plan is right that Europe needs to spend more on defence, and it is right that the spending should be coordinated, European-sourced, and focused on joint procurement. But the plan

underestimates the institutional architecture required to make any of this happen. Four structural changes would make the difference.

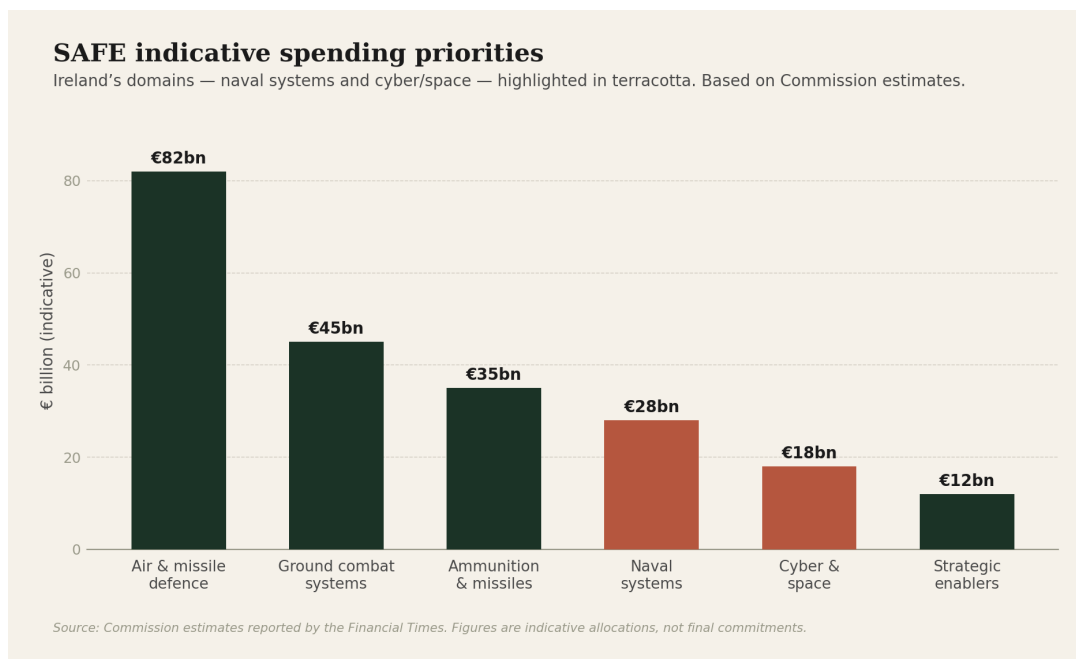


Figure 4: Indicative SAFE spending priorities. Air and missile defence dominates. Ireland's domains — naval systems and cyber/space — account for a combined ~€46 billion.

1. Consolidated demand

The single most effective thing Europe could do is aggregate national procurement into genuinely joint orders — not in the weak sense of two or three countries co-signing a contract, but in the strong sense of defining common requirements and placing a single order of sufficient scale to change the production economics. This is how the F-35 achieved its cost position: 3,500 aircraft across multiple allied nations on a single production line. Europe has the aggregate market to do this; what it lacks is the mechanism.

2. A functioning procurement authority

This does not mean another coordination body, nor another incentive programme. It means an authority with the mandate to define common requirements, aggregate demand, negotiate contracts, and manage programmes on behalf of participating states. The EU has created the institutional scaffolding — EDIP, SAFE, SEAP — but without genuine decision-making authority over procurement, these remain

instruments that signal encouragement instead of actually coordinating.

3. Confronting the workshare problem

Every European collaborative programme is slower and more expensive than it needs to be because workshare is allocated on political rather than industrial logic. If Europe wants scale, it needs to accept that not every country will build every component. This requires trust, compensation mechanisms, and political courage that has historically been absent.

4. Speed as a design criterion

European procurement timelines are measured in decades. The FCAS programme was conceived in 2017 and is not expected to deliver an operational aircraft until the 2040s. In the same period, the United States will have produced thousands of F-35s, and China will have fielded at least two new combat aircraft types. If European procurement cannot be restructured for speed, the money will arrive too late to matter.

The Real Question

The debate in Brussels has been framed as a spending problem: how much, from where, under what fiscal

rules. This framing is understandable, as it is easier to argue about money than to restructure institutions.

But the binding constraint on European defence is not fiscal. It is architectural. Europe already spends more on defence than Russia and China combined. The question is not whether Europe can afford to defend itself — it can — but whether twenty-seven nations can build a coordination system capable of converting that spending into deterrence outcomes.

Eight hundred billion euros is an extraordinary capital allocation. Poured into the current system, it will buy more of what Europe already has: fragmented

capability, duplicated programmes, deepening dependency on American platforms, and an industrial base that remains subscale despite the continent's aggregate wealth.

Poured into a reformed system — with consolidated demand, genuine joint procurement, and a coordination architecture designed for speed — it could build something that currently does not exist: a European defence industrial base capable of equipping a continent.

THE BOTTOM LINE

Europe already spends more on defence than Russia and China combined. The question is not whether Europe can afford to defend itself, but whether the system through which it spends can convert money into military capability. Currently, it cannot. The binding constraint is architectural, not fiscal.

SERIES CONTEXT

This paper is the first in the Security Ireland foundational analysis series. It provides the European context for Ireland's defence architecture challenge. Companion papers examine Ireland's domestic institutional constraints, the UK–Ireland security interface, and the GFA's security gap.

The frameworks in this paper — coordination architectures, adaptive bandwidth, and the institutional conditions for market formation — are explored in technical detail in O'Sullivan (2026), 'Market Formation as a Systems Engineering Problem.'